

are exceptions to this rule, which I will discuss in a later chapter. In families whose major breadwinner is under the age of 35, the amount of debt they have relative to assets is roughly \$87 per \$100. If you remember the fundamental formula that net worth or equity equals assets minus liabilities, then the typical family under the age of 35 has equity of \$13 and debts of \$87, which implies a debt-to-equity ratio of almost 7 to 1. Such a high ratio in this stage of life is a good reason to think in a more integrated fashion about debt management.

TABLE 1.5 Debts of You, Inc.—Who Has These Liabilities?

Age Group	Credit Card	Line of Credit	Installment Loan
Under 35	47.5%	2.2%	59.4%
35 to 44	58.8%	1.5%	55.7%
45 to 54	54.0%	2.9%	50.2%
55 to 64	42.1%	0.7%	42.8%
65 to 74	31.9%	0.4%	27.5%
Above 75	23.5%	—	13.9%

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 11 04.

TABLE 1.6 Debts Versus Assets of Family, Inc.

Age of Major Income Recipient in Family Unit	Value of Debt Per \$100 of Assets
Under Age 35	\$87.20
35 to 44	\$50.30
45 to 54	\$35.30
55 to 64	\$13.40
65 to 74	\$10.70
Above Age 75	\$8.30
All Family Units	\$31.90

Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 11 04, Table 8 04; IFID Centre calculations.